

the relevant States could not be made parties, the Court considered itself free to determine the effect of an interstate compact regulating water apportionment. The decision implies that no State can undermine the federal interest in equitably apportioned interstate waters even if it deals with private parties. This would not mean that, absent a compact, the apportionment scheme could not be changed judicially or by Congress, but only that apportionment is a matter of federal law. Cf. *Arizona v. California*, 373 U. S. 546, 597-598. The problems surrounding the act of state doctrine are, albeit for different reasons, as intrinsically federal as are those involved in water apportionment or boundary disputes. The considerations supporting exclusion of state authority here are much like those which led the Court in *United States v. California*, 332 U. S. 19, to hold that the Federal Government possessed paramount rights in submerged lands though within the three-mile limit of coastal States. We conclude that the scope of the act of state doctrine must be determined according to federal law.²⁵

VI.

If the act of state doctrine is a principle of decision binding on federal and state courts alike but compelled by neither international law nor the Constitution, its continuing vitality depends on its capacity to reflect the proper distribution of functions between the judicial and

²⁵ Various constitutional and statutory provisions indirectly support this determination, see U. S. Const., Art. I, § 8, cls. 3, 10; Art. II, §§ 2, 3; Art. III, § 2; 28 U. S. C. §§ 1251 (a) (2), (b) (1), (b) (3), 1332 (a) (2), 1333, 1350-1351, by reflecting a concern for uniformity in this country's dealings with foreign nations and indicating a desire to give matters of international significance to the jurisdiction of federal institutions. See Comment, *The Act of State Doctrine—Its Relation to Private and Public International Law*, 62 Col. L. Rev., 1278, 1297, n. 123; cf. *United States v. Belmont*, *supra*; *United States v. Pink*, *supra*.

political branches of the Government on matters bearing upon foreign affairs. It should be apparent that the greater the degree of codification or consensus concerning a particular area of international law, the more appropriate it is for the judiciary to render decisions regarding it, since the courts can then focus on the application of an agreed principle to circumstances of fact rather than on the sensitive task of establishing a principle not inconsistent with the national interest or with international justice. It is also evident that some aspects of international law touch much more sharply on national nerves than do others; the less important the implications of an issue are for our foreign relations, the weaker the justification for exclusivity in the political branches. The balance of relevant considerations may also be shifted if the government which perpetrated the challenged act of state is no longer in existence, as in the *Bernstein* case, for the political interest of this country may, as a result, be measurably altered. Therefore, rather than laying down or reaffirming an inflexible and all-encompassing rule in this case, we decide only that the Judicial Branch will not examine the validity of a taking of property within its own territory by a foreign sovereign government, extant and recognized by this country at the time of suit, in the absence of a treaty or other unambiguous agreement regarding controlling legal principles, even if the complaint alleges that the taking violates customary international law.

There are few if any issues in international law today on which opinion seems to be so divided as the limitations on a state's power to expropriate the property of aliens.²⁶

²⁶ Compare, *e. g.*, Friedman, *Expropriation in International Law* 206-211 (1953); Dawson and Weston, "Prompt, Adequate and Effective": A Universal Standard of Compensation? 30 *Fordham L. Rev.* 727 (1962), with Note from Secretary of State Hull to Mexican Ambassador, August 22, 1938, V *Foreign Relations of the United*

There is, of course, authority, in international judicial²⁷ and arbitral²⁸ decisions, in the expressions of national governments,²⁹ and among commentators³⁰ for the view that a taking is improper under international law if it is not for a public purpose, is discriminatory, or is without provision for prompt, adequate, and effective compensation. However, Communist countries, although they have in fact provided a degree of compensation after diplomatic efforts, commonly recognize no obligation on the part of the taking country.³¹ Certain representatives of the newly independent and underdeveloped countries

States 685 (1938); Doman, *Postwar Nationalization of Foreign Property in Europe*, 48 Col. L. Rev. 1125, 1127 (1948). We do not, of course, mean to say that there is no international standard in this area; we conclude only that the matter is not meet for adjudication by domestic tribunals.

²⁷ See *Oscar Chinn Case*, P. C. I. J., ser. A/B, No. 63, at 87 (1934); *Chorzow Factory Case*, P. C. I. J., ser. A., No. 17, at 46, 47 (1928).

²⁸ See, e. g., *Norwegian Shipowners' Case* (Norway/United States) (Perm. Ct. Arb.) (1922), 1 U. N. Rep. Int'l Arb. Awards 307, 334, 339 (1948), Hague Court Reports, 2d Series, 39, 69, 74 (1932); *Marguerite de Joly de Sabla*, American and Panamanian General Claims Arbitration 379, 447, 6 U. N. Rep. Int'l Arb. Awards 358, 366 (1955).

²⁹ See, e. g., Dispatch from Lord Palmerston to British Envoy at Athens, Aug. 7, 1846, 39 British and Foreign State Papers 1849-1850, 431-432. Note from Secretary of State Hull to Mexican Ambassador, July 21, 1938, V Foreign Relations of the United States 674 (1938); Note to the Cuban Government, July 16, 1960, 43 Dept. State Bull. 171 (1960).

³⁰ See, e. g., McNair, *The Seizure of Property and Enterprises in Indonesia*, 6 Netherlands Int'l L. Rev. 218, 243-253 (1959); Restatement, Foreign Relations Law of the United States (Proposed Official Draft 1962), §§ 190-195.

³¹ See Doman, *supra*, note 26, at 1143-1158; Fleming, *States, Contracts and Progress*, 62-63 (1960); Bystricky, *Notes on Certain International Legal Problems Relating to Socialist Nationalisation*, in International Assn. of Democratic Lawyers, *Proceedings of the Commission on Private International Law*, Sixth Congress (1956), 15.